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The reality behind falling net FDI

ECONOMIC NOTES

Based on an analysis of effective



Gross FDI figures include transactions such as intra-group ownership reorganisations, mergers, share swaps, and conversion of external commercial borrowings, even when no fresh capital enters the country.

Likewise, the increase in Outward Foreign Direct Investment (OFDI) warrants closer examination rather than being attributed solely to corporate maturity. From 2023-24 to 2025-26, 49% of India's total outbound investment of

Disinvestment and capital repatriation (capital account) totalled \$28.5 billion primarily driven by financial investors through secondary and strategic sales, IPO exits, and share buybacks. This also includes "offers for sale" by foreign promoters such as Hyundai and LG. The other type involves sell-offs by RFDI investors, such as Watson which sold to the Tatas.

(K.S. Chalapati Rao is Senior Research Fellow at the Academy of Business Studies, Bimwaje Dhar is former Professor, Jawaharlal Nehru University, and K.V.K. Ranganathan is an independent researcher)

The reality behind falling net FDI

Aspect	FDI	FPI	FII
Definition	Investment in physical assets like infrastructure in a foreign country.	Investment in financial assets like stocks, bonds, of a foreign country.	Institutional investors like mutual funds, pension funds, or investing in financial markets of another country.
Nature of Investment	Long-term investment aimed at acquiring management control.	Short-term investment primarily for financial gains.	Typically longer than FPI but not like FDI, aimed at portfolio diversification/profit-making.
Control	Provides significant control and influence over the management of the invested company .	Does not provide control over the company or management.	No management control; focuses on portfolio returns.

The reality behind falling net FDI

Risk Involved	High risk due to long-term commitment and exposure to market and regulatory conditions.	Comparatively lower risk due to ease of entry and exit.	Risk depends on market conditions and capital flow policies.
Impact on Economy	Leads to job creation, technology transfer, and infrastructure development.	Provides liquidity to the financial market	Boosts stock market liquidity; impact limited to financial market activities.
Regulation in India	Governed by FDI Policy, controlled by Department for Promotion of Industry and Internal Trade (DPIIT).	Regulated by the Securities and Exchange Board of India (SEBI).	Registered with SEBI and must follow FII norms.
Liquidity	Low liquidity due to the physical nature of assets and long-term involvement.	High liquidity as financial assets can be easily sold.	High liquidity similar to FPIs.

The reality behind falling net FDI

Context : India's net FDI has decreased drastically

Net FDI : Inflows - Outflows

Types of FDI :

Real FDI : Which brings in technology, Capital infusion (42%)

Financial Investors : Private equity funds, venture capital firms : Capital growth and planned exits (41%)

Diaspora Investment and SPV (18%)

Why such a decline

Pull out of money from India after geopolitical crisis across the globe : eg: Taiwan Uncertainty

Development of AI system based in USA

Rising Outward FDI

The reality behind falling net FDI

With reference to Foreign Direct Investment in India, which one of the following is considered its major characteristic?

This question was previously asked in

UPSC Civil Services Exam
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1. It is the investment through capital instruments essentially in a listed company.
2. It is a largely non-debt creating capital flow.
3. It is the investment which involves debt-servicing.
4. It is the investment made by foreign institutional investors in the Government securities.

How Birsa Munda helped define Adivasi identity, rights

How Birsa Munda helped define Adivasi identity, rights

Shubham Tigga
Ranchi, June 10

ON JUNE 9, the death anniversary of the iconic Adivasi leader and freedom fighter Birsa Munda, several tribal organisations in Jharkhand took a pledge to “protect his legacy”. This pledge came amid the fresh demands for “delisting” — removing tribal converts to Christianity or Islam from the Scheduled Tribes (ST) list — that have reignited a long-running debate over Adivasi identity. The latest delisting demand was made last month at a tribal gathering attended by Union Home Minister Amit Shah in Delhi.

The tribal organisations in Jharkhand said during the pledge event that Birsa Munda’s vision was rooted in Adivasi identity, sovereignty and land rights, and accused right-wing groups of attempting to reinterpret that outlook.

So what did Birsa stand for? More than 125 years after his death, here’s a look at the tribal leader’s life, beliefs and legacy.

Who was Birsa Munda?

Birsa Munda is one of the most influential figures in the history of the Chotanagpur plateau, the mineral-rich region spanning Jharkhand and adjoining states.

Revered by many as “Dharti Aba” (father of the Earth), he is remembered for

leading the Ulgulan, or the “Great Tumult” — a movement against colonial rule and “diku” (non-tribal outsider) zamindars amid the growing encroachment on Adivasi land and cultural institutions in the closing years of the 19th century.

Birsa’s influence, however, extended beyond the borders of the current Jharkhand state to the remote villages of Maharashtra, Chhattisgarh, Madhya Pradesh and more. In his seminal study *Birsa Munda and His Movement*, historian K S Singh described Birsa as a religious reformer, social mobiliser and political leader who transformed the Munda tribal society.

Adivasi historian Joseph Bara similarly argues that Birsa cannot be understood merely as the leader of an agrarian uprising. Rather, he articulated a broader vision of Adivasi identity, autonomy, land rights, religion and self-rule (known as *disum*).

Bara notes that his prominence in mainstream political and public discourse grew significantly during the decades preceding and following the creation of Jharkhand in 2000.

From resistance to statehood

The Ulgulan, led by Birsa Munda, reached its climax at Dombari Buru, a hill in a Khunti village, in January 1899. This was where thousands of Birsa’s followers gathered to assert their rights over land and

What is the Chotanagpur Tenancy Act?

- The CNT Act was enacted by the British in 1908 after decades of Adivasi resistance (including Birsa Munda’s uprising) to protect customary land rights in Chotanagpur region.

- The central objective was preventing the transfer of Adivasi land to non-Adivasis and legally recognising traditional land tenure systems.

- The Act remains one of the strongest safeguards for tribal land in Jharkhand.

challenge British authority, according to historian K S Singh.

The British forces eventually surrounded the hill and fired into the crowd. In Adivasi memory, this was a massacre that killed hundreds, though official records estimate a much lower toll. Birsa was arrested and died in Ranchi Jail on June 9, 1900.

While the British may have crushed the uprising, Dombari Buru became a symbol of Adivasi resistance.

The episode compelled the colonial administration to initiate land reforms that culminated in legal recognition of Khuntkatti rights and later the Chotanagpur Tenancy (CNT) Act, 1908. Khuntkatti was the traditional Munda system of collective land ownership and governance. Under the system, the descendants of the original settlers who cleared forests and established a village, known as Khuntkattidars, held collective rights over the village territory.

Bara writes that the aspiration for Adivasi self-governance articulated during Ulgulan was later channelled into the movement for a separate Jharkhand under Jaipal Singh Munda in the mid-1900s.

Religious views

According to family accounts shared by Budhrum Munda, a descendant of the family, Birsa spent parts of his early childhood at his uncle’s village before studying

at missionary schools in Chaibasa.

Budhrum Munda said that Birsa’s association with missionary education ended after a disagreement with church authorities over remarks about the Munda tribal community. After distancing himself from Christianity, Birsa came under the influence of Vaishnavism for some time.

“He was jailed in 1885 for two years and, eventually, after being released, he started preaching his teachings towards life and nature...,” said Budhrum Munda.

These teachings created a religious movement that came to be known as the Birsait faith, different from Sarnaism (the traditional tribal faith), Christianity and Hinduism. His followers attribute various miracles to him and consider him a messiah, referring to him as “Bhagwan” and the aforementioned “Dharti Aba”.

Budhrum Munda said: “Bhagwan Birsa never targeted any particular religion. He opposed both the outsiders from the caste society who were appointed as zamindars, and the Christian missionaries, as he saw them as part of the same system of exploitation,” he said. Opposing the demand for delisting of Christian tribals from the ST list, Budhrum Munda said that descendants of Birsa’s family have followed Christianity for generations. He argued that Adivasi identity is determined by ancestry and community, not religion.

How Birsa Munda helped define Adivasi identity, rights

- Birsa Munda was a tribal freedom fighter, religious reformer, and folk hero, who played a key role in tribal resistance against British rule in India
- Belonged to the Munda tribe, a major Adivasi community of the Chotanagpur plateau.
- He is lovingly called "Dharti Aaba" (Father of the Earth) by his followers.
- Promoted monotheism through the worship of Singbonga, a tribal deity.
- Birsaism: New Religion by Birsa Munda
- He campaigned against alcoholism, belief in black magic and superstitions, and forced labour (beth begari).
- British land policies destroyed the Khunt Katti land system, where land was communally owned.
- Associated with Ulgulan Rebellion
- In 1908, the Chotanagpur Tenancy Act was passed:
 - Banned land transfers from tribals to non-tribals.
 - Recognized Khunt Katti rights.
 - Banned beth begari (forced labour).
- Honouring Birsa Munda: Since 2021, 15 November is celebrated as Janjatiya Gaurav Divas (Tribal Pride Day).

How Birsa Munda helped define Adivasi identity, rights

With reference to the history of India, "Ulgulan" or the Great Tumult is the description of which of the following events?

This question was previously asked in

UPSC Civil Services Exam
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1. The Revolt of 1857
2. The Mappila Rebellion of 1921
3. The Indigo Revolt of 1859 - 60
4. Birsa Munda's Revolt of 1899 - 1900

74 new Land Ports proposed along International Borders

74 new land ports proposed along International Border

Vijaita Singh
NEW DELHI

India proposes to build 74 additional land ports along the International Border in the coming years, which include three land ports along the China border and six along the Pakistan border, according to Land Ports Authority of India (LPAI) Chairperson Jayant Singh.

The new land ports are expected to strengthen trade and seamless movement of people with the neighbouring countries.

The land ports along the China border are proposed at Namgia in Himachal Pradesh, Gunji in Uttarakhand, and Nathu La in Sikkim. India does not have any other land port operational along the China border.

According to the Exter-



Amit Shah during the inauguration of the Land Port Management System. ANI

nal Affairs Ministry, three points are designated for conducting border trade between India and China – Lipulekh Pass in Uttarakhand (since 1992), Shipki La Pass in Himachal Pradesh (since 1995), and Nathu La Pass in Sikkim (since July 2006) but post-COVID pandemic in 2020, all trade is suspended. Trade points and land borders are different as the latter integrates immigration,

customs and movement of large goods vehicles too.

The land ports planned along the Pakistan border are at Teetwal, Adusa, and Chakan Da Bagh in Jammu and Kashmir, Attari railway station and Hussainiwala in Punjab, and Munabao railway station in Rajasthan. At present, there is just one operational land port at Attari in Punjab and trade from the two Facilitation Centres located at Salamabad, Uri, Baramulla district and Chakkan-da-Bagh, Poonch district along Line of Control in Jammu and Kashmir remained suspended since the Pulwama attack.

Under Phase II, 13 land ports are proposed along the Nepal border, 12 along the Bangladesh border, four along Bhutan and two along the Myanmar border, the presentation said.

74 new Land Ports proposed along International Borders

- **Trade points and Land borders are different** : Land border integrates immigration, customs and movement of large vehicles. It will strengthen trade and seamless movement of people with neighbouring countries
- **Proposed in China** : Namgia in Himachal Pradesh, Gunji in Uttarakhand and Nathu La in Sikkim
 - India does not have a land port with China currently.
 - Earlier three trade points existed Lipulekh Pass (Since 1992), Shipki La (Since 1995), Nathu La (Since 2006)
- **Proposed in Pakistan** : Teetwal, Adusa and Chakan Da Bagh in Jammu and Kashmir, Attari Railway Station and Hussainiwala in Punjab, Munabao Railway Station in Rajasthan

74 new Land Ports proposed along International Borders

- **Land Port Authority of India**

- Owing to its **central geographical location, India shares over 15,000 kms** long international land border with seven countries in South Asia, namely Afghanistan, Bangladesh, Bhutan, China, Myanmar, Nepal and Pakistan
- Established as a **statutory body under the Department of Border Management, Ministry of Home Affairs,** the Land Ports Authority of India is entrusted with the task of building land ports on India's borders

74 new Land Ports proposed along International Borders

Arrange the following countries in descending order of the length of their land border with

India:

**1. Nepal 2. Bhutan 3. Bangladesh 4. China 5. Afghanistan 6. Myanmar
7. Pakistan**

(A) $3 \rightarrow 4 \rightarrow 7 \rightarrow 1 \rightarrow 6 \rightarrow 2 \rightarrow 5$

(B) $3 \rightarrow 4 \rightarrow 7 \rightarrow 6 \rightarrow 1 \rightarrow 2 \rightarrow 5$

(C) $4 \rightarrow 3 \rightarrow 7 \rightarrow 1 \rightarrow 6 \rightarrow 2 \rightarrow 5$

(D) $3 \rightarrow 4 \rightarrow 7 \rightarrow 1 \rightarrow 6 \rightarrow 5 \rightarrow 2$

74 new Land Ports proposed along International Borders

Country	Border Length	Indian States / UTs
Bangladesh	4,096.7 km	West Bengal, Assam, Meghalaya, Tripura, Mizoram
China	3,488 km	Ladakh, Himachal Pradesh, Uttarakhand, Sikkim, Arunachal Pradesh
Pakistan	3,323 km	Gujarat, Rajasthan, Punjab, Jammu & Kashmir, Ladakh
Nepal	1,751 km	Uttarakhand, Uttar Pradesh, Bihar, West Bengal, Sikkim
Myanmar	1,643 km	Arunachal Pradesh, Nagaland, Manipur, Mizoram
Bhutan	699 km	Sikkim, West Bengal, Assam, Arunachal Pradesh
Afghanistan	106 km	Ladakh (administered by India/Pakistan)

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Negotiating federalism in higher education

Negotiating federalism in higher education

Higher education in India has emerged as an important site through which the changing dynamics of Indian federalism are being expressed. Issues relating to regulatory authority, curriculum, language policy, public funding, and digital governance have transformed the sector into a critical site where competing visions of the Union and State governments intersect. These developments not only shape the direction of higher education but also illuminate broader questions concerning the distribution of power within the Indian Union. As a result, governance of higher education can no longer be viewed merely as a sectoral policy concern; rather, it has become an integral component of India's evolving federal architecture.

Some recent examples include the contestations surrounding the implementation of the National Education Policy (NEP), 2020 across different States. Recent regulatory reforms facilitating the establishment of foreign university campuses in India have also generated varied responses from State governments, reflecting differing perspectives. This fragmented political landscape has important implications for higher education governance in the country. However, they have received only relatively limited attention.

Growing influence of Centre
Several developments have illustrated these tensions. In Tamil Nadu, the State government repeatedly opposed various aspects of the NEP 2020, particularly the three-language formula as well as the University Grants Commission's (UGC) circular on the third language this year. Centre-State tensions in higher education were also evident in the disputes over the appointment of Vice-Chancellors and the powers of Governors in States such as Tamil Nadu, Kerala, Karnataka, and West Bengal.



Eldho Mathews
is with the Kerala State Higher Education Council. Views expressed are personal

Although education remains constitutionally within the Concurrent List, the prevailing governance dynamic increasingly favours the Union

Although education remains constitutionally within the Concurrent List, which gives both the Union and the States legislative authority, the prevailing governance dynamic increasingly favours the Union. Through the Ministry of Education, the UGC, and various regulatory and accreditation bodies, the Union government possesses substantial leverage over universities and colleges across the country.

The introduction of the NEP, 2020 is an important restructuring attempt to redesign the architecture of higher education in India. The policy has proposed sweeping reforms, including four-year undergraduate programmes, an Academic Bank of Credits, institutional restructuring, multidisciplinary universities, and internationalisation initiatives. These reforms also represent an expansion of the influence of the Centre into domains that have historically been the preserve of State governments.

Moreover, access to central funding now is increasingly dependent on compliance with nationally designed reform agendas. Programmes such as the Institutions of Eminence initiative and competitive research mechanisms under the Anusandhan National Research Foundation have contributed to the influence of the Union government over States' authority.

The role of national regulatory agencies has also become another important site of conflict. The structures proposed by the Viksit Bharat Shiksha Adhishthan Bill, 2025, which are intended to replace existing higher education regulatory bodies including the UGC, have generated apprehensions regarding the gradual erosion of the authority of State governments. Another important dimension to centralisation is digital governance. Mechanisms such as the Academic Bank of Credits have expanded the capacity of the Union government to standardise

and monitor higher education governance across States.

In States with strong regional political identities, these reforms are viewed not just as administrative issues but as constitutional questions concerning the balance of power within the Indian Union.

Strategic adaptation

Interestingly, the implementation of the NEP, 2020 has also revealed that Centre-State relations in higher education are not purely adversarial. Rather than adopting positions of complete acceptance or outright rejection, many States, including Opposition-ruled States, have selectively adapted aspects of reforms in accordance with local political contexts. This reflects the emergence of a more negotiated form of federalism characterised by strategic adaptation.

For instance, with respect to internationalisation, several States are seeking to position themselves as regional education hubs by facilitating partnerships with overseas institutions. These developments underscore the growing recognition of higher education as a strategic instrument for global visibility and knowledge-driven development. The debate surrounding the establishment of international branch campuses further illustrates this change. While the regulatory framework and policy direction are largely determined by the Union government, the actual implementation of such initiatives depends substantially on State governments through local administrative clearances, infrastructure support, and investment.

As India's regional political landscape continues to evolve, the trajectory of higher education governance will depend not only on constitutional provisions, but also on the capacity of the Centre and the States to negotiate competing political and developmental priorities within the federal structure.

Negotiating federalism in higher education

Legislative Overreach & Centralization: The Viksit Bharat Shiksha Adhishthan (VBSA) Bill, 2025 proposal to merge UGC, AICTE, and NCTE into a single apex body has sparked concerns over excessive centralization of higher education governance.

Asymmetric Financial Leverage: Central funding via PM-USHA and the Anusandhan National Research Foundation is tied to mandatory compliance with Union reform agendas,

Executive Gridlock: Unilateral appointments of Vice-Chancellors by Governors acting as University Chancellors

Centralised Entrance Examinations

Debt Trap for State Universities: The transition from traditional infrastructure grants provided by the UGC to loan-based funding via the Higher Education Financing Agency (HEFA) is a major friction point.

Concurrent List: At the commencement of the Constitution, education was exclusively a State subject under Entry 11 of the State List. Later transferred to concurrent list by 42nd CAA

Negotiating federalism in higher education

Way ahead

Reinvigorating the CABE: The **Central Advisory Board of Education (CABE)** and the **Inter-State Council** must be reinvigorating to modern times

Ensuring State Representation in Central Regulators: If overarching apex bodies like the Viksit Bharat Shiksha Adhishthan (VBSA) are established, their governing councils must include proportional and rotational representation from State Higher Education Councils.

Thank you

“The price of success is daily effort”



gallantias@gmail.com



+91 9746035110